INSTITUTE OF DISTANCE LEARNING

KWAME NKRUMAH UNIVERSITY OF SCIENCE AND TECHNOLOGY, KUMASI, GHANA

ME 491
ENGINEERING ECONOMY & MANAGEMENT

Unit 1

Prof. S.H.M. AIKINS

Copyright

Introduction to Management

What is an organisation?

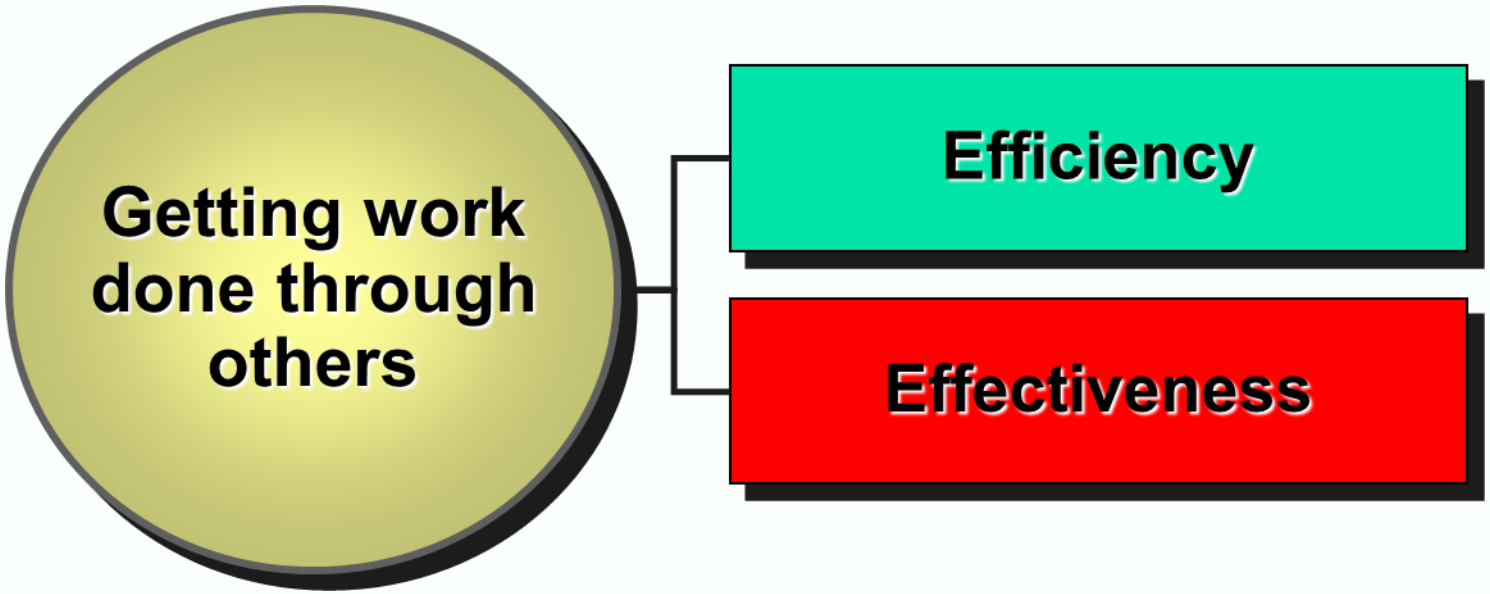
- Managers work in organisations.

- If there were no organisations, there will be no need for managers.

What is an organisation?

- An Organisation is a deliberate arrangement of people to accomplish some specific purpose.

Management is ….



What is Management?

- **Management** is a set of activities (including planning and decision making, organising, leading and controlling) directed at an organisation's resources (human, financial, physical, and information) with the aim of achieving organisational goals in an **efficient** and **effective** manner.

What is Management?

- Management has been defined as "getting things done through the efforts of other people," and that function breaks down into at least two major responsibilities, one of which is planning, the other control.

What is Management?

- It has been defined as **"the activity which plans, organises, and controls the operations of the basic elements of men, materials, machines, methods, money and markets, providing direction and co-ordination, and giving leadership to human efforts, so as to achieve the sought objectives of the enterprise."**

Efficient Managers

- Efficiency is a vital part of management.

Efficient Managers

- Efficiency refers to the relationship between inputs and outputs.

Efficient Managers

- If you can get more output from the given inputs, you have increased efficiency.

Efficient Managers

- Similarly, if you can get the same output from less input, you also have increased efficiency.

Efficiency

- **Because managers deal with scarce input resources – mainly people, money, and equipment** – they **are concerned with the efficient use of those resources.**

Efficiency

- **Management**, is therefore concerned with **minimising resource costs**.

- **Efficiency** is often referred to as "**doing things right**".

Effective & Efficient Managers

- To be *effective* is to achieve organisational goals.

Effective & Efficient Managers

- To be *efficient* is to achieve goals with minimum waste of resources, that is, to make the best possible use of money, time, materials, and people.

Effective & Efficient Managers

- Some managers fail on both criteria, or focus on one at the expense of another.

Effective & Efficient Managers

- The best managers maintain a clear focus on both **effectiveness** and **efficiency**.

Who is a Manager?

- A manager is someone whose primary responsibility is to carry out the management process.

Who is a Manager?

- In particular, a manager is someone who plans and makes decisions, organises, leads and controls human, financial, physical, and information resources.

The Management Process

- Management involves four basic activities –
  - planning and decision making,
  - organising,
  - leading, and
  - controlling.

The Management Process

- **Management process** is the set of ongoing decisions and actions in which managers engage as they plan, organise, lead, and control.

Levels of Management

- There are 3 levels of management

1. Top Level Management
2. Middle Level Management
3. First-Line, Frontline or (Supervisory) Level Management

Levels of Management

Top Level Management

Middle Level Management

First-Line Management



Top level Managers

- Top-level Managers are the senior executives of an organisation.

- They are responsible for the organisation's overall management.

Top level Managers

- Top-level managers are often referred to as strategic managers.

Top level Managers

- They focus on long-term issues and emphasize the survival, growth, and overall effectiveness of the organisation.

Top level Managers

- **Top managers hold positions like chief executive officer (CEO) or chief operating officer (COO) and are responsible for the overall direction of the organisation.**

Middle-level Managers

- Middle-level managers are located in the organisation's hierarchy between top-level management and the supervisory management (or frontline managers).

Middle-level Managers

- Sometimes called ***tactical managers***, they are responsible for translating the general goals and plans developed by strategic managers into more specific objectives and activities.

Middle-level Managers

- **Middle–level Managers are responsible for setting objectives consistent with top management goals, planning strategies.**

Middle-level Managers

- Middle managers hold positions like plant manager, regional manager, or divisional manager.

Supervisory, Frontline or First Line Managers

- Supervisory managers are sometimes referred to as *operational managers*.

Supervisory, Frontline or First Line Managers

- They are lower-level managers who supervise the operations of the organisation.

Supervisory, Frontline or First Line Managers

- Supervisory managers often have titles such as Supervisor or Foreman.

Supervisory, Frontline or First Line Managers

- **Frontline managers** are directly involved with **non-management employees**, implementing specific plans developed with middle managers.

Supervisory, Frontline or First Line Managers

- This role is critical in the organisation, because operational managers are the link between management and non-management personnel.

Supervisory, Frontline or First Line Managers

First Line Managers are responsible for

- managing the performance of entry-level employees,
- teaching entry-level employees how to do their jobs,
- making schedules and operating plans based on middle management's intermediate-range plans.

Supervisory, Frontline or First Line Managers

- First-line managers hold positions like office manager, shift supervisor, or department manager.

Team Leaders

- This is a relatively new kind of management job that developed as companies shifted to self-managing teams, which, by definition, have no formal supervisor.

Team Leaders

- Instead of directing individuals' work, team leaders facilitate team activities toward goal accomplishment.
- They have less formal authority, so they lead more through relationships and respect.

Team Leaders

- **Team Leaders are responsible for facilitating team performance, managing external relationships and facilitating internal team relationships.**

Managerial Roles

INTERPERSONAL	INFORMATIONAL	DECISIONAL
Figurehead	Monitor	Entrepreneur
Leader	Disseminator	Disturbance Handler
Liaison	Spokesperson	Resource Allocator
		Negotiator

Definitions of Managerial Roles: Interpersonal

Figurehead:

- Manager represents the organisational unit in all matters of formality.

Definitions of Managerial Roles: Interpersonal

Liaison:

- Manager interacts with peers and other people outside the organisational unit to gain information and favours.

Definitions of Managerial Roles: Interpersonal

Leader:

- Manager provides guidance and motivation to the group and also defines the atmosphere of the workplace.

Definitions of Managerial Roles: Informational

Monitor:

- Manager serves as a receiver and collector of information.

Definitions of Managerial Roles: Informational

Disseminator:

- Manager transmits special information within the organisation.

Definitions of Managerial Roles: Informational

Spokesperson:

- Manager disseminates the organisation's information into its environment.

Definitions of Managerial Roles: Decisional

Entrepreneur:

•Manager's role is to initiate change.

Definitions of Managerial Roles: Decisional

Disturbance Handler:

- Role the Manager must assume when the organisation is threatened, such as conflicts between subordinates, the sudden departure of a subordinate, or the loss of an important customer.

Definitions of Managerial Roles: Decisional

Resource Allocator:

- Manager decides where the organisation will expend its resources.

Definitions of Managerial Roles: Decisional

Negotiator:

- Role the manager assumes when the organisation finds itself in major, non-routine negotiations with other organisations or individuals.

What do Companies Look for in Managers?

Technical Skills	***Human Skill***
Conceptual Skill	***Motivation to Manage***

What do Companies Look for in Managers?

Technical skills

- Technical skills are most important for lower level managers, because these managers supervise the workers who produce products or serve customers.

What do Companies Look for in Managers?

Technical skills

- Team leaders and first-line managers need technical knowledge and skills to train new employees and help employees solve problems.

What do Companies Look for in Managers?

Technical skills

- Technical skills become less important as managers rise through the managerial ranks, but they are still important.

What do Companies Look for in Managers?

Human skills

- Human skills are equally important at all levels of management, from first-line supervisors to CEOs.

What do Companies Look for in Managers?

Human skills

- However, because lower level managers spend much of their time solving technical problems, upper level managers may actually spend more time dealing directly with people.

What do Companies Look for in Managers?

Conceptual skill

- Conceptual skill is the ability to see the organisation as a whole, how the different parts of the company affect each other, and how the company fits into or is affected by its external environment.

What do Companies Look for in Managers?

Conceptual skill

- Conceptual skill increases in importance as managers rise through the management hierarchy.

What do Companies Look for in Managers?

Motivation to Manage

- Managers typically have a stronger motivation to manage than their subordinates, and managers at higher levels usually have stronger motivation to manage than managers at lower levels. ak motivation to manage.

What do Companies Look for in Managers?

Motivation to Manage

- Furthermore, managers with stronger motivation to manage are promoted faster, are rated by their employees as better managers, and earn more money than managers with a weak motivation to manage.

Schools of Management Thought

- The study of management is, at best an inexact science.
- Management thought is generally divided into
- classical,
- behavioural, and
- quantitative schools

Please, read on

- Schools of Management Thought

- classical,
- behavioural, and
- quantitative schools